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IESE Business School
University of Navarra

FP-361-E
(F-945-E)

Amazon 2018

Business strategy and financial strategy

Preparation sheet

Topic: Business strategy and financial strategy

So far, we have discussed cases of "normal companies", i.e., private companies of small-medium size that strive for profits and financing, and that never appear in the media. These companies represent no less than 99.5% of the companies worldwide.

Today, we will discuss a company that is one of the biggest and most famous in the world. We will see that our methodology to analyze financial statements is also suitable for such big companies. For this case you do not have to make any decisions (yet). Just do your own business and financial analysis.

Objectives

- We will talk about business strategy, financial strategy, and the coherence between both. Then, we will add numbers to the strategy.
- We will examine, in passing, topics such as the use of ratios in financial analysis, negative NFO, and how to reduce a balance sheet to its relevant items.
- In this case, you do not have to do any calculations. You should focus on the big numbers and their interpretation.

Material

- F-945-E Amazon 2018. Business Strategy and Financial Strategy.
- Exhibits in Excel format (on the website).
- Supplements *after class* (on the website).

Preparation sheet prepared by Professors Eduardo Martínez Abascal and Christian Eufinger.
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Guiding questions

1. Financial analysis with ratios. What can we say about Amazon's financial situation if we look only at the classic ratios of liquidity,[1] leverage,[2] and working capital?

2. P&L and balance sheet analysis

   a) Analyze the income statement. Focus only on the big numbers. Express your opinion, positive, and negative points.

   b) Analyze the balance sheet. Focus only on the big numbers (investments made and how they are financed). Express your opinion.

3. Amazon's strategy and its numbers

   a) Business strategy. What is Amazon's strategy? Why do customers buy from them and not from someone else? Base your answer on what is mentioned in the case and on your knowledge of the business.

   b) Financial strategy. Identify the main investments of Amazon and how they are financed. Pay special attention to the NFO numbers.

   c) Calculate the numbers that result from this strategy.[3] Look at the evolution of the value chain and how the ROE is generated.

4. How to analyze a conglomerate. Amazon operates in many businesses and regions. Sometimes it is difficult to fully understand what Amazon really does. Here we propose three simple questions to identify the core business of a conglomerate, Amazon in this case (use Tables 1-7 of Exhibit 3).

   a) What does Amazon sell? Look at percentages of sales and identify the relevant businesses (products and markets). Are these businesses growing?

   b) Where does Amazon make money? Look at the sources of Amazon's profits (which businesses and markets).

   c) Are these businesses profitable? Look at the profitability of every business, measured by ROA = EBIT / total assets (EBIT = operating income).

5. Final (optional) question. Amazon is perceived as a real threat to several industries (retail, transportation, some manufacturers, etc.). Is Amazon becoming a quasi-monopoly? Should it be regulated?

[1] Current ratio = current assets / current liabilities. All (or almost all) textbooks indicate that this ratio must be greater than one – that is, that the company should have sufficient short-term assets to pay for its liabilities within that period. Having a liquidity ratio of less than one is exactly the same as saying that the WC is negative or, in other words, that the current assets are less than the current liabilities.

[2] Leverage = liabilities / equity. All (or almost all) textbooks indicate that this ratio must be less than one – that is, that the shareholders should contribute more money than the rest of the financiers (suppliers, banks, and others).

[3] See page 48 of the textbook, *Value Chain or How to Build Up the ROE*. *Finance for Managers,* E.M. Abascal. Ed. Amazon.